

Chapter Three

Overview of Change Management

Upon completing this unit, students will be able to:

- Have an understanding of the meaning and implications change Management
- Identify factors of organizational change
- Identify level of change
- Understand the relevant process of organizational change
- Explaining the reason why employees resist to change and ways of managing employee's resistance.

1.1. Meaning and Implication

Change means making things different. When an organization makes things in a different way, an organizational change is occurred. A transformation from one state, condition, or phase to another. Change is about travelling from the old to the new, leaving yesterday behind in exchange for the new tomorrow. Thus, **Organizational change** is the movement of an organization away from its present state toward some desired future state to increase its efficiency and effectiveness.

It occurs whenever we replace the old process, system, structure or job roles by the new ones. Implementing change is incredibly difficult. Most people are reluctant to leave the familiar behind and enter to new process, system, structure or job roles. We are all suspicious about the unfamiliar; we are naturally concerned about how we get from the old to the new, especially if it involves learning something new and risking failure.

Change management is the discipline that guides how we prepare, equip and support individuals to successfully adopt change in order to drive organizational success and outcomes.

Change management is a structured approach to transitioning individuals, teams, and organizations from a current state to a desired future state, to fulfill or implement a vision and strategy. It is an organizational process aimed at empowering employees to accept and embrace changes in their current environment.

Change incorporates the organizational tools that can be utilized to help individuals and teams make successful transitions resulting in the adoption and realization of change. Any change to processes, systems, organization structures and/or job roles will have a 'technical' side and a 'people' side that must be managed.

Organizational success depends on the organization's rate of adaptations to environmental changes. It implies:

- Efficiency and effectiveness
- Successes or un successes depending up on its effect
- More profit and organizational growth etc.

Levels of Change Management

The steps in change management involves three levels

1. Individual Change Management

While it is the natural psychological and physiological reaction of humans to resist change, we are actually quite resilient creatures. When supported through times of change, we can be wonderfully adaptive and successful. Individual change management requires understanding how people experience change and what they need to change successfully. It also requires knowing what will help people make a successful transition: what messages do people need to hear when and from whom, what is the optimal time to teach someone a new skill, how to coach people to demonstrate new behaviors, and what makes changes —stick in someone's work.

2. Organizational/Initiative Change Management

While change happens at the individual level, it is often impossible for a project team to manage change on a person-by-person basis. Organizational or initiative change management provides us with the steps and actions to take at the project level to support the hundreds or thousands of individuals who are impacted by a project.

Organizational change management involves first identifying the groups and people who will need to change as the result of the project, and in what ways they will need to change. Then, involves creating a customized plan for ensuring impacted employees receive the awareness, leadership, coaching, and training they need in order to change successfully.

3. Enterprise Change Management Capability

Once change is embraced at individual and organizational level, change should be embedded in the organizations core values. This enables an organization to make change part of its culture that help the organization to adapt an ever-evolving business landscape. Enterprise change management is an organizational core competency that provides competitive differentiation and the ability to effectively adapt to the ever-changing world. An enterprise change management capability means *effective change management is embedded into your*

organization's roles, structures, processes, projects and leadership competencies. It indicates change management processes are consistently and effectively applied to initiatives, leaders have the skills to guide their teams through change, and employees know what to ask for in order to be successful.

The end result of an enterprise change management capability is that individuals embrace change more quickly and effectively, and organizations are able to respond quickly to market changes, embrace strategic initiatives, and adopt new technology more quickly and with less productivity impact. This capability does not happen by chance; however, it requires a strategic approach to embed change management across an organization.

Forces of Organizational Change

Today organizations are operating in an ever-changing environment. An organization is an open system which has to interact with environment and is solely dependent on it. Any change in environment makes it necessary for the organization to incorporate change in the internal systems, sub-systems, structures, job roles and processes. This change has a chain reaction on the other internal elements of organization. Organizations and their managers need to be able to control their activities, make their operations routine predictable, and responsive to the need to change. **A modern manager** is change conscious and operates in the constantly changing environment. In general, there are two main forces that drive organizations toward change: *internal and external forces.*

A. External Forces for Organizational Change: it includes

- i. **Customer demand:** these days customers are becoming more sophisticated and demanding; knowledgeable about their own needs; and customers often changing over time. Customers are exerting ever greater pressure on their supplier. They will no longer accept poor service or low quality. To be competitive, organizations have to respond more rapidly to customer needs. Sellers no longer have the upper hand; rather customers do. Customers now tell suppliers, what they want, when they want it, how they want it, and what they will pay. This new situation is problematic issue for companies that have known life only in the mass market.
- ii. **Intensive Competition:** competition is intensifying, and becoming more global. More organizations are forced to attain the standards of quality and cost effectiveness by the pacemakers in the industry. The company that could get to market with an acceptable product or service at the best price would get a sale. Companies are competing each

other through: service delivery, customer satisfaction, customer delighting, customer handling, market share, product differentiation and Product quality, etc.

- iii. **Technology:** Technological changes have increased the rate of speed at which change takes place. Technology is the most commonly used method of increasing productivity to gain competitive leverage. The rate of technological change is greater today than any time in the past and technological changes are responsible for changing the nature of jobs performed at all levels in the given organization.
- iv. **Changing Government Regulations:** Government barriers such as: Deregulation, reduction of trade barriers, privatization, free market economy system, economic integration, and other related issues are the major factors leading organizations toward change.

B. Internal Forces for organizational changes

- i. **Changes in the managerial personnel:** these changes include the retirement of the old managers, transfer and promotion of managers and replacement of old and static managers by more versatile (having ability to adapt things) dynamic and young lots (informational). So, a change in the managerial personnel is, thus, one reason to look for organizational change.
- ii. **Certain deficiencies in the existing system:** such as;
 - ☞ Unmanageable span of control
 - ☞ Lack of coordination between the departments
 - ☞ Obstacles in communication
 - ☞ Lack of uniformity in the policies (as you know policies are guidelines for decision making);
 - ☞ Contradiction of organizational procedures
 - ☞ Non-cooperation between line and staff member, etc.
- iii. **Certain other forces:** Changes in machinery, equipment, methods, and procedures, working standard (work force), changes in authority and responsibility, and Employee attitude.

3.3.Process of Organizational Change

To improve efficiency and effectiveness it is vital that managers develop the skills necessary to manage change effectively. Most people go from side to side four distinct stages in the change process.

☞ **1st Assessing the Need for Change:** Change can affect organizational structure, culture, strategies, controlling system, and way of managing. So, organizations should assess the need for change properly. Assessing the need for change calls for two important activities:

- Recognize that there are problems that require change. The real problem/s, not the symptom.
- Identify the sources of the problem/s.

☞ **2nd Decide On the Change to Make:**

Decide what the organization's ideal future would be. Decide where they would like their organization to be in the future: decide what kinds of goods and services it should be making, what its business-level strategy should be, how structure should be changed and develop strategy.

What can change agents change? Change agents can change the options essentially fall into different categories such as: *structure, technology, physical setting, job roles and people.*

- Plan how to attain organization's ideal future state.
- Identifying sources of resistance for change and how to overcome them

☞ **3rd Implementing the Change:**

Under this stem the manager introduces and manages the change. At this stage the manager should decide whether change will occur from the *top down* or from the *bottom up*.

Top-down change: when the change is required to be implemented quickly, top-down approach is appropriate. It is revolutionary in nature. The top manager will identify the need for change, decide what to do, and then move quickly to implement the changes throughout the organization. Usually, managers use this approach for restructuring and downsizing the organization.

Bottom-up change: it is more gradual and evolutionary. Top managers consult with middle and first-line managers about the need for change. Then, over time, managers at all levels work to develop a detailed plan for change. Such approach is important to overcome resistance.

☞ **4th Evaluating the Change:**

Evaluate how successful the change effort has been in improving organizational performance. Managers can evaluate change effect using measures such as improvements in market share and profits, in the ability of managers to meet their goal. We can also use

benchmarking-the process of comparing one company's performance on specific dimensions with the high performing organizations.

Managing Resistance to Change

What Is Resistance to Change?

Resistance to change is the reluctance of adapting to change when it is presented. Resistance to change is unwillingness to adapt to new circumstances or ways of doing things. It can happen with individuals, relationships, or within organizations. There are many reasons for resistance, but at its heart, resistance is rooted in fear of the unknown. People are biologically wired to look for patterns and predictability, and any uncertainty — even if it's anticipated or positive — can trigger anxiety.

Employees can be either overt or covert about their unwillingness to adapt to organizational changes. This can range from expressing their resistance publicly, to unknowingly resisting change through their language or general actions. Some examples might be missed meetings, sarcastic remarks, criticism, nit-picking, or even sabotage.

Individual resistance vs organizational resistance

- **Individual resistance** occurs when employees resist change based on their unique perceptions, personalities, and needs. Things like job security, habit, and economic factors have a massive influence on individual resistance.
- **Organizational resistance** is the tendency for an organization as a whole to resist change and want to maintain the status quo. Companies that suffer from organizational resistance become inflexible and are unable to adapt to environmental or internal demands for change. Some of the signs that organizational resistance is in play include internal power struggles, poor decision-making processes, and bureaucratic organizational structures.

Generally, according to Hammer & Stanton,

- Resistance is natural and inevitable, so, Expect it
- Resistance doesn't always show its face, so, Find it
- Resistance has many motivations, so, Understand it
- Deal with people's concerns rather than their arguments, Confront it
- There is no one way to deal with resistance Manage it.

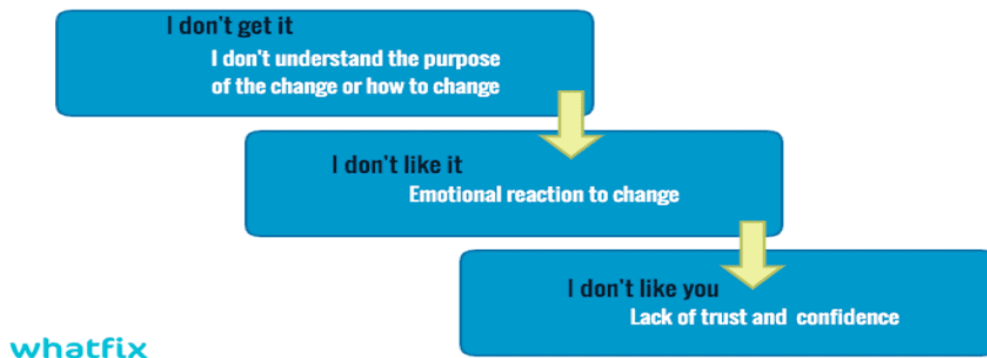
Reasons for Resistance to Change

While there can be several reasons why an employee is resistant to organizational change, here are the five most common reasons:

1. Mistrust and lack of confidence

When employees don't trust or feel confident in the person making the change (mostly the leader), their resistance to it increases. Change advisor and author Rick Maurer believes that lack of confidence in change-makers is the most overlooked cause of resistance to change in organizations.

Maurer 3 Levels of Resistance and Change Model

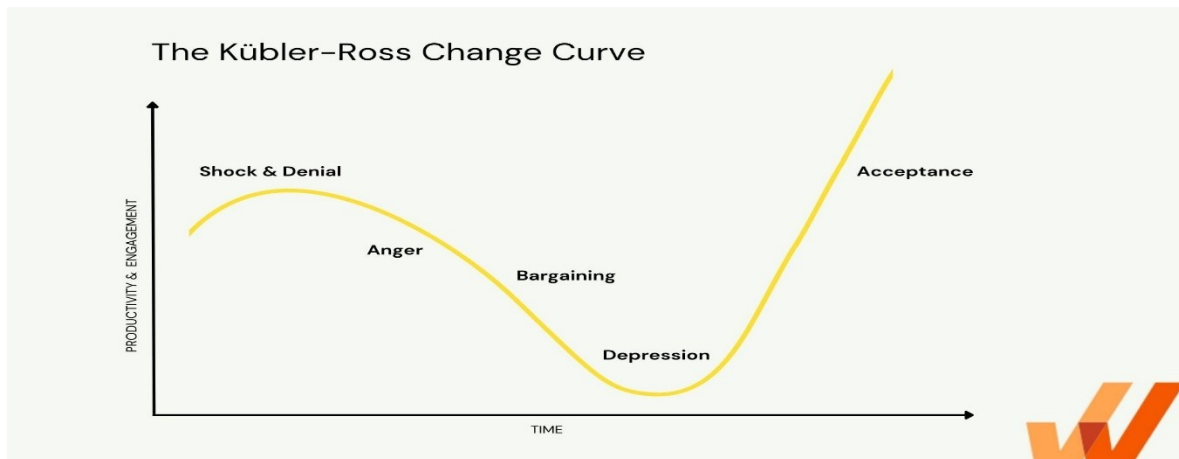


Maurer's 3 Levels of Resistance to Change are: I don't get it, I don't like it, and I don't like you. That's right — people may not resist the change itself, but rather the person making the change. Of course, "you" does not always refer to the change-maker specifically. It could also be someone the change-maker represents, such as corporate headquarters or a faceless CEO.

2. Emotional responses

Changing the status quo is difficult, and some people may have emotional reactions to anything that disrupts their routine or status quo where they feel they are safe. This is a natural and inevitable response. Brushing it off will only lead to stronger resistance. Common emotional responses to change are fear, uncertainty, and worry. Employees might not be able to articulate how they are feeling. Or, they may not want to say it to leadership. But we get a sense of more negative emotions may be seen through comments they make or nonverbal cues. These signs of resistance might include eye-rolling or disengaging from conversations.

Use change management models that focus on emotional reactions to change, such as the Kübler-Ross Change Curve, to mitigate the common cause of resistance to change. The model recognize that change can lead to feelings of loss and grief. As such, change-makers must be prepared to manage these emotions and move people towards acceptance of the change.



Start by coaching change leaders to approach resistance to change with empathy, acknowledging that people may have a wide range of emotional reactions. Some may even skip steps in the Kübler-Ross Change Curve, slide back into old habits, or have negative reactions multiple times throughout the transition.

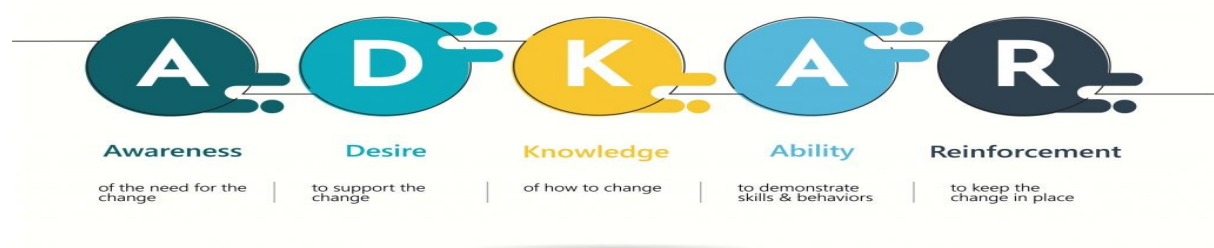
To manage these reactions, change leaders **should clearly explain the need for change** while also **listening attentively to the feedback** from those affected by it. People want to feel heard. Make it clear that their opinions are valuable to the change process.

Change leaders should also check in frequently to provide support, gather additional feedback, and nudge people towards change acceptance and adoption.

3. Fear of failure

People won't support a change if they're not confident in their abilities to adapt to it. When people feel threatened by their shortcomings (real or imagined), they protect themselves from failure by resisting the change at the very beginning.

The ADKAR Model has two goals that address the fear of failure: knowledge and ability.



Knowledge is all about effective training. The goal is to give people the tools they need to facilitate the change, including those needed to handle transitions.

Ability is more about self-confidence. After training, people need to feel comfortable applying the knowledge they have acquired. Give employees enough hands-on experience to develop and test their new skills before fully launching the change.

4. Poor communication

The key to excellent change management communication is to create an active conversation. When you talk **at** people as opposed to **with** people, you're bound to get pushback and resistance to change. Start by making a change communication plan. Before you initiate change, you should have several communication actions planned, such as the announcement of the change, small group discussions, one-on-one meetings, and methods for gathering feedback.

When talking with employees about change, answer the questions, "What's in it for me?" (WIIFM) and "What does it mean to me?" (WDIMTM). When you address individual concerns, you increase their engagement. People want to know how the change will impact them specifically and what they will need to do to implement and solidify the change. Furthermore, providing continuous motivation throughout the change process is essential.

5. Unrealistic timelines

Start with a change implementation timeline. Map out every action and set deadlines so you have a general idea of how long the entire transformation will take. Often, designing the path between the current state and change adoption helps you identify additional steps needed to facilitate the transition.

Find a balance between creating a sense of urgency and allowing time to transition. Don't force change too quickly – when you push too hard for a change to happen, it's easy to get tunnel vision and neglect important elements of your change plan. Of course, you shouldn't be afraid to make adjustments. If your team needs more time to understand the change or would benefit from additional training, make it happen.

6. Constant change

Organizations can sometimes overlook the need to space multiple changes out. If you are constantly changing programs, leadership, or systems, employees are less likely to fully adapt to and accept future change. Furthermore, in a study that looked at change management in organizations, employees who were going through changes currently or within the previous year were more likely to feel stressed out, have less trust in their senior

leaders, planned to find new jobs, and reported more health concerns. Timing of changes is important in order to minimize resistance to them.

Strategies to manage resistance to change

Now that we have looked at some of the reasons people resist change, let's dive into some of the ways to overcome resistance to change, and how to implement change successfully.

1. Communication and Listen to Employees' View

Let employees know about changes to the status quo as soon as possible. Use employee that others gravitate to, or whose opinions seem to carry more weight with their colleagues. Get buy-in from them and help them lead the changes you are hoping for. This helps to build a bridge between employees and management.

Involving key stakeholders as part of the change, especially those that are trusted by colleagues, can help others adapt more readily. Share whatever information you have with employees that you are free to share. If you are not sure of an answer or cannot answer, it is okay to state that. You can say something like, "I don't have that information" or "I'll have to look into that". When there is a lack of communication, people tend to fill the void with speculation. The more open and honest in your communication with them, the less likely this is to happen.

Listen to employees' concerns, as there is a good chance that they are more in tune with a plan's potential blind spots given their day-to-day work. This also lets them know their opinions are valued by the company. While you do not have to incorporate all their ideas, listening will help you identify what sources of resistance are coming up and address the root causes. For example, perhaps employees are concerned about the timeline of the proposed changes. This is often a valid concern. If you can, explain your decision-making processes. Looking at ways to address this with their buy-in, or more clearly articulating the rationale for that timeline, can save time and money in the long run.

2. Educate Employees on the Value of the Change

Organizations are generally trying to make things better, not worse, for their employees. Perhaps the old way of doing things presented a potential safety issue, was ineffective or inefficient. Building a case for why change is necessary can help employees adapt to it more readily, even in cases where they may not like it. How will this change impact them directly? Train them well so that change effort make something easier, better, or more efficient in the long run.

3. Choose the Right Timing to Introduce Change

Things are always constantly changing and evolving with the passing of time. That said, within an organization, the timing of change can be important. It isn't always possible, but sometimes it is best for organizations to methodically introduce change and wait until that has stabilized before introducing further change. Even companies that are "good at change" sometimes need a pause. Having a strategic plan in place that looks at the rollout of all known upcoming changes can help determine if any don't have enough time between them. Build in time leading up to the change, during the change, and following the change — asking for ample feedback from employees along the way.

4. Provide ongoing support

Once a change has been made, make sure to follow up with employees as those changes roll out. Let them know that they continue to be important partners in making effective changes that will stand the test of time. Provide training for any new skills needed to make the change successful. Recognizing both privately and publicly those that are helping facilitate the change or adapting to it, even in small ways, can further create employee satisfaction with the changes.

5. A force change strategy

involves giving orders and enforcing those orders; this strategy has the advantage of being fast, but it is plagued by low commitment and high resistance.

6. A rational or self-interest change strategy

Is one that attempts to convince individuals that the change is to their personal advantage. When this appeal is successful, strategy implementation can be relatively easy. However, implementation changes are seldom to everyone's advantage.